

The balance of payments A country's balance of payments is a record of payments and receipts between its firms and individuals and those of other countries. The balance of payments always balances: *total* payments equal *total* receipts, and only components of the overall balance of payments can be in deficit or surplus. For example, if the US exports £10 million worth of mobile phones to Britain and Britain sells nothing to the US, then Britain has a 'trade deficit' of £10 million, but US businesses now hold an extra £10 million of British assets, representing a surplus on the 'capital account' – the segment of the balance of payments that records capital flows between countries.

People often worry about trade deficits: they can arise if domestic goods are not internationally competitive due to the low productivity of domestic firms. However, there are many reasons for trade deficits, and not all of them are bad: for instance, a country might be growing fast, building lots of roads and so importing large volumes of tarmac and steel.

